EXECUTIVE SUMMARY

A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 87,606 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and performance audit were conducted on the accounts and operations of the LGU-Solana, Cagayan for the calendar year 2021. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations, as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

B. Operational Highlights

The following programs, projects and activities charged under the different sources of funds of LGU – Solana, Cagayan were completed in CY 2021:

Programs/Projects/Activities	**Total Cost Incurred**
Construction of Municipal Health Office Building	19,895,524.80
Installation of new water connection	1,400,521.00
Rehabilitation / Concreting of Road	2,921,358.37
Rehabilitation / Concreting of Road (re-blocking of Damaged Concrete pavement)	1,167,374.20
Purchase of filling Materials for Stockpile	1,496,835.00
Purchase of Tires	283,200.00
Purchase of Motor Boat Fiber Glass (Modified "V" Hull)	1,597,000.00
Purchase of Rescue Boat (2-units)	1,280,860.00
Installation of street Lights	1,561,657.60
Construction / Installation of Elevated Water Tank	877,867.48
Purchased of Sound System	239,502.00
Delivery and Installation os waste water treatment plant	4,678,000.00

Programs/Projects/Activities	**Total Cost Incurred**
Supply and Delivery of Antigen Test kits for COVID 19	397,003.00
Supply and Delivery of various drugs, medicines and vitamins	747,410.00
Supply and Delivery of various medical, dental and laboratory Supplies	248,460.00
Purchase of Roll-up Blinds	403,980.00
Repair and Maintenance of Road (Concreting)	1,047,616.04
Purchase of Heavy Equipment (Backhoe/Compact excavator)	6,988,888.00
Supply and Delivery of Various Drugs, Medicines and Vitamins	747,470.00
Supply and Delivery of various medical, dental and laboratory Supplies	247,290.00
Supply and Delivery of Antigen Test kits for COVID 19	994,865.00
Purchase of 1-unit pharmaceutical laboratory Refrigerator	193,000.00
Rehabilitation of Solana Public Market	497,725.84
Supply and Delivery of Antigen Test kits for COVID 19	997,694.00
Purchase of Tires	237,000.00
Concreting of Road shoulder and fabrication of drainage cover	735,241.68
Construction of Garage @ Birthing Center	575,816.98
Local Development and House Construction of Solana Resettlement Project Phase 2	49,980,850.00
Installation of water system and Solar Power Supply	789,464.90
Construction of Sanitary landfill (Additional cell #2)	5,184,593.24
Installation of CCTV	984,168.00
Purchase of CCTV	535,717.64
Installation of lighting System	1,076,891.40
Construction of Solana Agricultural Trading center	13,990,153.90
Construction of Steel Bridge	1,770,862.03
Fabrication/Installation of Public market Food racks (Vegetables and Fruits)	1,198,466.42
Supply and Delivery of various drugs, medicines and vitamins	498,360.00
Supply and Delivery of various medical, dental and laboratory supplies	248,590.00
Purchase of square chest freezer (6cu. Ft.)	372,500.00

Programs/Projects/Activities	Total Cost Incurred
Restoration of Water System	3,013,107.88
Improvement of Access Road-Gadu	1,877,266.74
Purchase of various ICT equipment & software for the installation of real property tax administration system	1,635,675.51
Supply and Delivery of Rapid Antigen Test kits for COVID-19	297,045.00
Purchase of Modular Tent	297,050.00
Restoration of Electricity with Installation of Solar street Lights	651,364.51
Construction of Project Pylon (marker)	198,963.73
Supply and Delivery of various drugs, medicines and vitamins	498,540.00
Procurement of Rapid Test Antigen Test Kits for COVID-19	198,973.00
Purchase of Printer	496,000.00
Construction of health Center	560,714.20
Delivery of flood map simulation and data management System	1,245,000.00
Supply and Delivery of Various drugs, medicines and vitamins	731,760.00
Supply and Delivery of various medical, dental and laboratory supplies	577,150.00
Construction of Multi-Purpose/Evacuation Center	12,688,734.11
Construction of Garage and Drop-Off Area	848,003.46
TOTAL	**154,905,126.66**

C. Highlights of Financial Information:

The highlights of the financial condition, results of operations, appropriation and obligation of LGU-Solana, Cagayan for CY 2021 with comparative figures for CY 2020 are as follows:

	2021	2020	Increase/(Decrease)
Assets	905,750,338.74	857,217,632.74	48,532,706.00
Liabilities	259,546,961.92	274,260,486.87	(14,713,524.95)
Government Equity	646,203,376.82	582,957,145.87	63,246,230.95
Income	332,039,030.23	298,924,353.42	33,114,676.81
Expense	269,208,843.10	249,720,282.88	19,488,560.22
Appropriation	308,399,112.17	314,928,665.02	(6,529,552.85)
Obligation	296,419,567.46	294,210,617.54	2,208,949.92

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2021 with comparative figures for CY 2020 are shown below:

	2021	2020	Increase/(Decrease)
Funds Received from Other Agencies:			
NGAs	62,832,593.91	13,425,507.90	49,407,086.01
LGUs	0.00	200,000.00	(200,000.00)
NGOs/POs	100,000.00	0.00	100,000.00
Others	100,000.00	0.00	100,000.00
Total	**63,032,593.91**	**13,625,507.90**	**49,407,086.01**

	2021	2020	Increase/(Decrease)
Funds Transferred to Other Agencies:			
NGAs	534,590.40	208,400.00	326,190.40
LGUs	7,172,500.00	2,158,332.00	5,014,168.00
NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
Total	**7,707,090.40**	**2,366,732.00**	**5,340,358.40**

C. Independent Auditor's Report on the Financial Statements:

The Auditor rendered a **Qualified Opinion** on the fairness of the presentation of the financial statements of the LGU Solana, Cagayan as of December 31, 2021.

D. Summary of Significant Audit Observations and Recommendations:

1. **Five (5) parcels of land with a total area of 33,722.50 square meters and total net book value of ₱2,549,888.69, were not yet titled in the name of the Municipality, thus, absolute ownership over the properties were not yet established thereby exposing the Municipality to the risk that these properties may be subject to disputes or claims by other parties.**

   Moreover, eight (8) titled lots with an area of 31,829.00 square meters were not yet recorded in the Municipality's books, resulting in the understatement of the Land account presented in the financial statements as of December 31, 2021.

   We recommended that Management:

   a. require the General Service Officer to undertake the necessary procedures in the titling of the five (5) lots in order to establish ownership over them in the name of the LGU; and

b. create an Inventory and Appraisal Committee to take charge in determining the value of the eight (8) lots with a total area of 31,829.00 square meters as basis for the Accounting Office to record the same in the books of accounts of the Municipality.

2. **Various properties with total net book value of ₱69,009,727.51 are classified in the books of accounts as Property, Plant and Equipment, instead of Investment Property, which is contrary to Section 112 of Presidential Decree No. 1445, thus, affecting the fair presentation of the accounts in the financial statement.**

   We recommended that the Municipal Accountant review the proper classification of the concerned accounts with a net book value of ₱69,009,727.51 in compliance with Section 112 of PD No. 1445 and draw the necessary journal entries to adjust the same from Markets accounts to Investment Property pursuant to International Public Sector Accounting Standard 16.

3. **Various equipment and furniture and fixtures, with total net book value of ₱1,402,227.17 are carried in the books of accounts of the Municipality, instead of these being transferred to the Schools Division Office/Department of Education, which is contrary to Philippine Public Sector Accounting Standards 17 - Property, Plant and Equipment.**

   We recommended that the Local Chief Executive enjoin the General Services Office and Municipal Accounting Office and invite a representative of the Schools Division Office/DepEd, to conduct a physical inventory of the aforementioned assets and prepare an Inventory Report containing all information about the existing and serviceable assets to be transferred.

   Further, we recommended that the Local Chief Executive coordinate with the Head of the recipient Agency for proper turn-over of the assets. Thereafter, the Municipal Accounting Office shall draw the necessary Journal Entry Voucher to derecognize the PPE to be transferred and furnish a copy of the JEV to the Schools Division Office/DepEd in order for the latter to record the same in their books of accounts. Other necessary documents pertaining to the assets should also be turned-over to them.

4. **There is inadequate control measures over the issuance and monitoring of official receipts and other accountable forms, as required in Section 59 of the Local Treasury Operations Manual, due to the: (a) non-issuance in strict numerical sequence of Accountable Form No. 51; (b) non-preparation of Reports of Accountability for Accountable Forms by the collectors; and (c) absence of specific control measures, such as assignment of serial numbers, in the issuance of cash tickets.**

In view of the foregoing, we recommended the following:

a. The Municipal Treasurer orient and require the custodian of the accountable forms to issue the same in strict numerical sequence;

b. The collectors prepare Reports of Accountability for Accountable Forms (RAAF) at least once a month for submission to the Municipal Treasurer for the preparation of the consolidated RAAF. The monthly CRAAF prepared by the Municipal Treasurer accompanied by the individual RAAFs of the collectors shall be submitted to the Audit Team in the ensuing month; and

c. The Management devise specific control measures in the issuance of cash tickets, such as assigning serial numbers, tearing off of cash tickets to avoid possible re-issuance and conduct of surprise inspection by the authorized personnel, to ensure proper control and accounting thereof.

5. **Accounts Receivable from the Municipality's Housing Program totaling ₱246,768.65 remained uncollected as of December 31 2021, which is not in compliance with Section 2 of Presidential Decree No. 1445, thereby depriving the Municipality of the efficient and effective use of its economic resources.**

   Moreover, the same account contained a negative balance totaling ₱46,676.44, which is contrary to Section 112 of the same Decree, thus, affecting the fair presentation in the Municipality's financial statements.

   We recommended that the Management:

   a. Send demand letters to delinquent borrowers for possible collection of long past due accounts which have been outstanding/unpaid for 24 years in the amount of ₱246,768.65; and

   b. require the Municipal Treasurer and Municipal Accountant to review the negative balances in the amount of ₱46,676.44 and post the payments to the correct accounts, thus, eliminating the existence of the negative balances and cause the necessary adjustments.

E. Summary of Total Suspensions, Disallowances, and Charges:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions:					
Prior Years	P17,378,943.64	P 0.00	P 0.00	P17,378,943.64	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P17,378,943.64**	**P 0.00**	**P 0.00**	**P17,378,943.64**	**0.00%**
Disallowances:					
Prior Years	P488,958.36	P 0.00	P110,990.00	P377,968.36	22.70%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P488,958.36**	**P 0.00**	**P110,990.00**	**P377,968.36**	**22.70%**
Charges:					
Prior Years	P 0.00	P 0.00	P 0.00	P 0.00	0.00%
Current Year	0.00	0.00	0.00	0.00	0.00%
Total	**P 0.00**	**P 0.00**	**P 0.00**	**P 0.00**	**0.00%**

F. Status of Implementation of Prior Year's Audit Recommendations:

Of the 16 prior year's audit recommendations embodied in the 2020 Annual Audit Report, eight (8) were implemented and eight (8) were not implemented.